NVIDIA CORPORATION (NVDA-NASDAQ)

Semiconductors
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COMPANY COMMENT

Revenue Momentum Firmly On Track; Slightly Weaker GM Outlook Not A Trend

RECOMMENDATION

NVDA's results and outlook were largely consistent with our preview with the exception of gross margin outlook, which came in 50-100bp below. On the positive side, Blackwell delays appear better than feared and management is forecasting a strong ramp in FQ4. Hopper demand continues to be healthy with further growth expected in FQ4 even as Blackwell ramps in volume. By Geo, U.S. declined 4% q/q, which likely raised questions about Hyperscale demand. However, Consumer Internet (Meta) and Enterprise companies (likely including TSLA) were called out as particularly strong. We estimate Cloud customers (MSFT, AMZN, GOOG, ORCL) also grew double-digits q/q, implying no slowdown in U.S. customer spending. China grew strongly q/q (from 10% of sales to 12%) while Networking benefited from Spectrum-X ramps, underscoring the company's diverse revenue drivers. As such, we expect topline momentum to continue well into calendar 2H25 and gross margins to stabilize in calendar 1H25 as Blackwell costs mature. We raise estimates, raise PT from $120 to $140, and **reiterate Strong Buy.**

Revenue strong, GM outlook a tad light: F2Q revenue/non-GAAP EPS of $30B/$0.68 were above our $28B/$0.62 estimate and in line with our recent expectation for a $2B beat. Gross margin of 75.7% declined from 78.9% in Apr-24Q partly on Blackwell inventory provisions and was largely in line. For Oct-24Q, management expects revenue of $32.5B, above consensus of $31.7B. Gross margin is tracking 50 bp below consensus (and our recent expectation for upside) due to higher cost new products and likely less than optimal Blackwell yields. Management expects gross margins in the mid-70s range for FY25, which implies 100-200bp of q/q decline in FQ4, which is also slightly below expectation. We are raising our FY25 non-GAAP EPS estimate from $2.64 to $2.80 and FY26 estimate from $3.30 to $3.79.

Blackwell delay better than feared: Data Center revenue of $26.3B was up 16% q/q (154% y/y) and above our $24.1B estimate. Despite speculation on delays, management expects Blackwell to contribute several billions of dollars in revenue in FQ4. In addition, H200 shipments are expected to increase in calendar 2H24 as supply remains tight, which should put to rest concerns of an air pocket. Growth was driven by Enterprise and Consumer Internet customers, while Cloud represented 45% of DC revenue, implying mid-teens q/q growth in Cloud. Management sees Blackwell demand outpacing supply well into 2025. We expect B100/B200 boards (HGX) to ramp in FQ4 followed by GB200 NVL systems in calendar 1H25, which should help sustain the momentum well into calendar 2H25. Networking (MLNX) increased 16% q/q (114% y/y). Ethernet for AI revenue doubled q/q with Spectrum-X on track to become a multi billion-dollar product within a year.

Gaming, ProViz, and Auto better: Gaming revenue of $2.9B grew 9% q/q (+16% y/y) on seasonal strength while ProViz revenue of $454M grew 6% q/q (+20% y/y). Automotive revenue of $346M grew 5% q/q (+37% y/y) on AI cockpit solutions ramping and self-driving.

Valuation: NVDA is trading at 42x FY25E non-GAAP EPS vs. 5-year range of 24-67x and average of 40x. Our PT assumes 37x FY26E EPS, which we think is reasonable given the company's GenAI dominance, new product cycle, and intense competition among hyperscale customers. Key risks

Strong Buy 1
Target Price $140.00 ↑ old: $120.00

Suitability	MA/ACC

MARKET DATA

Current Price (Aug-28-24)	$116.95
Market Cap (mln)	$2,910,886
Current Net Debt (mln)	$(20,201)
Enterprise Value (mln)	$2,890,685
Shares Outstanding (mln)	24,890.0
30-Day Avg. Daily Value (mln)	$40,821.1
Dividend	$0.04
Dividend Yield	0.0%
52-Week Range	$39.23 - $140.76
BVPS	$1.97
Long-Term Debt (mln)	$8,460
Long-Term Debt as % of Cap	15%
Net Cash per Share	$0.87

Price: Reflects AH price as of 7:59 p.m. ET.

KEY FINANCIAL METRICS

	1Q	2Q	3Q	4Q
Non-GAAP EPS ($, Jan FY)				
2024A	0.11	0.27	0.40	0.52
2025E	0.61	0.62	0.68	0.73
new	**0.61 A**	**0.68 A**	**0.73**	**0.78**
2026E	0.75	0.79	0.83	0.92
new	**0.82**	**0.92**	**1.00**	**1.04**

	2024A	2025E	2026E
Non-GAAP EPS ($, Jan FY)			
old	1.30	2.64	3.30
new	**1.30**	**2.80**	**3.79**
P/E (Non-GAAP)			
	90.2x	41.8x	30.9x
Revenue (mln) ($, Jan FY)			
old	60,922	117,378	149,020
new	**60,922**	**124,035**	**171,826**
GAAP EPS ($, Jan FY)			
old	1.19	2.55	3.22
new	**1.19**	**2.67**	**3.60**

Source: FactSet OnDemand, Raymond James & Associates. Quarterly figures may not add to full year due to rounding.
Non-GAAP EPS excludes one-time items and stock-based compensation expense.

include 1) excess inventory build at customers, 2) competition from in-house solutions, and 3) slower AI adoption at enterprise customers.

Figure 1 - NVDA F2Q25 Variance Analysis

	F2Q25			F3Q25E		
	Reported	Consensus	RJ	Guidance	Consensus	Prior RJ
Revenue ($m)	$30,040	$28,737	$28,012	$32,500	$31,714	$30,525
Q/Q (%)	15%	10%	8%	8%	10%	9%
Y/Y (%)	122%	113%	107%	79%	75%	69%
Gross Margin	75.7%	75.7%	75.5%	75.0%	75.5%	75.0%
Operating Margin	66.4%	65.9%	65.5%	66.0%	66.1%	65.4%
Net Margin	56.4%	52.4%	55.2%	55.0%	51.3%	55.2%
Non-GAAP EPS	$0.68	$0.65	$0.62	$0.73	$0.71	$0.68

Source: Company reports, FactSet, Raymond James research

Figure 2 - NVDA F2Q25 Segment Results

Segment	Revenue ($m)	Q/Q (%)	Y/Y (%)	Consensus ($m)	F3Q25E Commentary
Data Center	26,272	16%	154%	25,270	
Compute	22,604	17%	162%	21,615	Increase q/q on H200 ramps
Networking	3,668	16%	114%	3,655	
Gaming	2,880	9%	16%	2,708	
ProViz	454	6%	20%	450	
Auto	346	5%	37%	345	
Other	88	13%	33%	78	
Total	**30,040**				

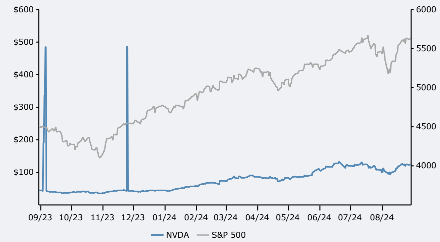
Source: Company reports, FactSet, Raymond James research

Nvidia Income Statement	Apr-23	Jul-23	Oct-23	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26					
FYE: Jan (US$m)	**1Q24A**	**2Q24A**	**3Q24A**	**4Q24A**	**1Q25A**	**2Q25A**	**3Q25E**	**4Q25E**	**1Q26E**	**2Q26E**	**3Q26E**	**4Q26E**	**FY22A**	**FY23A**	**FY24A**	**FY25E**	**FY26E**
Revenue	**7,192**	**13,507**	**18,120**	**22,103**	**26,044**	**30,040**	**32,512**	**35,439**	**38,071**	**42,164**	**45,184**	**46,407**	**26,914**	**26,974**	**60,922**	**124,035**	**171,826**
Cost of Sales	2,390	3,893	4,537	5,144	5,484	7,311	8,088	9,313	10,228	11,139	11,613	11,477	**8,946**	**11,009**	**15,964**	**30,196**	**44,456**
Gross Profit	4,802	9,614	13,583	16,959	20,560	22,729	24,424	26,126	27,843	31,025	33,571	34,931	**17,968**	**15,965**	**44,958**	**93,839**	**127,370**
R&D	1,351	1,440	1,593	1,759	1,993	2,258	2,439	2,585	2,843	2,986	3,135	3,229	**3,969**	**5,478**	**6,143**	**9,275**	**12,193**
SG&A	449	411	449	469	529	560	588	612	673	700	728	749	**1,600**	**1,760**	**1,778**	**2,289**	**2,849**
Other	(50)	(13)	(16)	(18)	(21)	(26)	(26)	(26)	(26)	(26)	(26)	(26)	**(292)**	**(313)**	**(97)**	**(99)**	**(104)**
Total Operating Expenses	1,750	1,838	2,026	2,210	2,501	2,792	3,001	3,170	3,490	3,659	3,836	3,952	**5,277**	**6,925**	**7,824**	**11,464**	**14,938**
Operating Income	**3,052**	**7,776**	**11,557**	**14,749**	**18,059**	**19,937**	**21,424**	**22,956**	**24,353**	**27,365**	**29,735**	**30,978**	**12,691**	**9,040**	**37,134**	**82,375**	**112,431**
Interest & Other	84	120	175	232	302	380	350	350	350	400	400	450	**(198)**	**6**	**611**	**1,382**	**1,600**
Pre-Tax Income	**3,136**	**7,896**	**11,732**	**14,981**	**18,361**	**20,317**	**21,774**	**23,306**	**24,703**	**27,765**	**30,135**	**31,428**	**12,493**	**9,046**	**37,745**	**83,757**	**114,031**
Income Tax	423	1,156	1,712	2,142	3,123	3,365	3,702	3,962	4,199	4,859	5,274	5,500	**1,234**	**680**	**5,433**	**14,151**	**19,832**
Net Income	**2,713**	**6,740**	**10,020**	**12,839**	**15,238**	**16,952**	**18,072**	**19,344**	**20,503**	**22,906**	**24,861**	**25,928**	**11,259**	**8,366**	**32,312**	**69,606**	**94,199**
Non-GAAP EPS	**$0.11**	**$0.27**	**$0.40**	**$0.52**	**$0.61**	**$0.68**	**$0.73**	**$0.78**	**$0.82**	**$0.92**	**$1.00**	**$1.04**	**$0.44**	**$0.33**	**$1.30**	**$2.80**	**$3.79**
% of Revenue																	
Gross Profit	66.8%	71.2%	75.0%	76.7%	78.9%	75.7%	75.1%	73.7%	73.1%	73.6%	74.3%	75.3%	**66.8%**	**59.2%**	**73.8%**	**75.7%**	**74.1%**
Operating Expenses	24.3%	13.6%	11.2%	10.0%	9.6%	9.3%	9.2%	8.9%	9.2%	8.7%	8.5%	8.5%	**19.6%**	**25.7%**	**12.8%**	**9.2%**	**8.7%**
R&D	18.8%	10.7%	8.8%	8.0%	7.7%	7.5%	7.5%	7.3%	7.5%	7.1%	6.9%	7.0%	**14.7%**	**20.3%**	**10.1%**	**7.5%**	**7.1%**
SG&A	6.2%	3.0%	2.5%	2.1%	2.0%	1.9%	1.8%	1.7%	1.8%	1.7%	1.6%	1.6%	**5.9%**	**6.5%**	**2.9%**	**1.8%**	**1.7%**
Operating Income	42.4%	57.6%	63.8%	66.7%	69.3%	66.4%	65.9%	64.8%	64.0%	64.9%	65.8%	66.8%	**47.2%**	**33.5%**	**61.0%**	**66.4%**	**65.4%**
Pretax income	43.6%	58.5%	64.7%	67.8%	70.5%	67.6%	67.0%	65.8%	64.9%	65.9%	66.7%	67.7%	**46.4%**	**33.5%**	**62.0%**	**67.5%**	**66.4%**
Tax rate	13.5%	14.6%	14.6%	14.3%	17.0%	16.6%	17.0%	17.0%	17.0%	17.5%	17.5%	17.5%	**9.9%**	**7.5%**	**14.4%**	**16.9%**	**17.4%**
Net income	37.7%	49.9%	55.3%	58.1%	58.5%	56.4%	55.6%	54.6%	53.9%	54.3%	55.0%	55.9%	**41.8%**	**31.0%**	**53.0%**	**56.1%**	**54.8%**
QoQ %																	
Revenue	19%	88%	34%	22%	18%	15%	8%	9%	7%	11%	7%	3%					
Gross Profit	20%	100%	41%	25%	21%	11%	7%	7%	7%	11%	8%	4%					
Operating Expenses	-1%	5%	10%	9%	13%	12%	7%	6%	10%	5%	5%	3%					
R&D	-5%	7%	11%	10%	13%	13%	8%	6%	10%	5%	5%	3%					
SG&A	1%	-8%	9%	4%	13%	6%	5%	4%	10%	4%	4%	3%					
Operating Income	37%	155%	49%	28%	22%	10%	7%	7%	6%	12%	9%	4%					
Pretax income	38%	152%	49%	28%	23%	11%	7%	7%	6%	12%	9%	4%					
Net income	25%	148%	49%	28%	19%	11%	7%	7%	6%	12%	9%	4%					
YoY %																	
Revenue	-13%	101%	206%	265%	262%	122%	79%	60%	46%	40%	39%	31%	**61%**	**0%**	**126%**	**104%**	**39%**
Gross Profit	-14%	213%	308%	324%	328%	136%	80%	54%	35%	36%	37%	34%	**64%**	**-11%**	**182%**	**109%**	**36%**
Operating Expenses	9%	5%	13%	25%	43%	52%	48%	43%	40%	31%	28%	25%	**27%**	**31%**	**13%**	**47%**	**30%**
R&D	9%	2%	13%	24%	48%	57%	53%	47%	43%	32%	29%	25%	**29%**	**38%**	**12%**	**51%**	**31%**
SG&A	3%	-5%	0%	6%	18%	36%	31%	30%	27%	25%	24%	23%	**7%**	**10%**	**1%**	**29%**	**24%**
Operating Income	-23%	487%	652%	563%	492%	156%	85%	56%	35%	37%	39%	35%	**87%**	**-29%**	**311%**	**122%**	**36%**
Pretax income	-20%	503%	652%	561%	485%	157%	86%	56%	35%	37%	38%	35%	**87%**	**-28%**	**317%**	**122%**	**36%**
Net income	-21%	422%	588%	491%	462%	152%	80%	51%	35%	35%	38%	34%	**79%**	**-26%**	**286%**	**115%**	**35%**

Source: Company reports, Raymond James Research

COMPANY DESCRIPTION

NVIDIA Corporation, headquartered in Santa Clara, California, is a leading supplier of graphics processing units (GPUs) and platforms for gaming, enterprise graphics, automotive, and datacenter and cloud visual computing applications.



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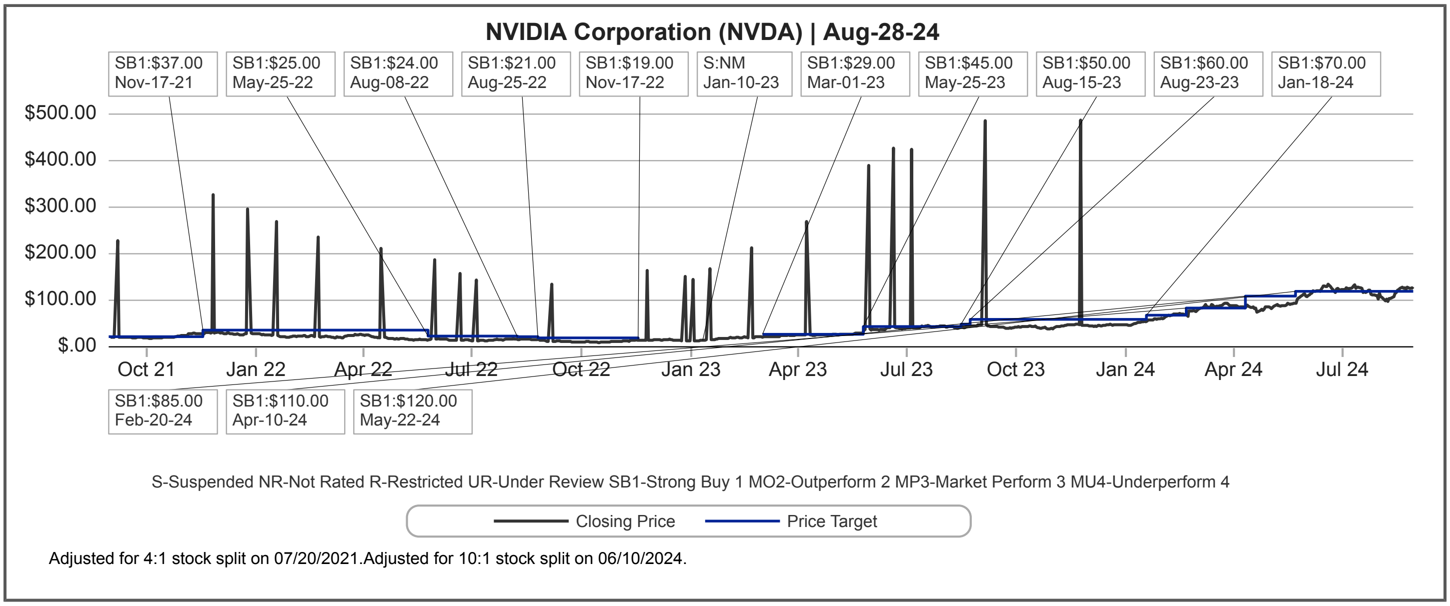

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NVIDIA Corporation
Our valuation methodology for NVDA is based on a P/E multiple comparison to its historical forward P/E range.

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NVIDIA Corporation
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	Coverage Universe Rating Distribution*				Investment Banking Relationships			
	RJA		RJL		RJA		RJL	
Strong Buy and Outperform (Buy)	560	59%	163	76%	95	17%	41	25%
Market Perform (Hold)	375	39%	50	23%	30	8%	4	8%
Underperform (Sell)	21	2%	2	1%	1	5%	0	0%
Total Number of Companies	956	100%	215	100%	126		45	

** Columns may not add to 100% due to rounding.*

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